

The Lifetime Value Map

What is one customer really worth to your business?

Use this tool to estimate what an average customer is worth over time, compare that value with what it costs to gain them, and find the part of the customer relationship worth improving.

Includes: LTV calculator + worked example + acquisition cost check + growth worksheet

You do not need perfect data. A sensible estimate is enough to start seeing the shape of the business.

What is Lifetime Value?

Lifetime Value, often shortened to **LTV**, is an estimate of the value a customer creates across the whole time they buy from your business.

It helps you look beyond the first sale. A customer who spends \$40 once is different from a customer who spends \$40 every month for three years.

Start with lifetime revenue

For a repeat-purchase business, a simple starting point is:

$$\text{Average sale} \times \text{purchases per year} \times \text{years they stay}$$

Worked example

Average sale	Purchases per year	Years as customer	Lifetime revenue
\$50	6	3	\$900

$\$50 \times 6 \times 3 = \900 **estimated lifetime revenue.**

This is useful, but revenue is not the same as profit. The next step gets closer to the value the business keeps.

Get closer to the real value

If you know your **gross margin**, you can make the estimate more useful. Gross margin is the percentage left after the direct cost of providing the product or service is taken out.

$$\text{Lifetime revenue} \times \text{gross margin} = \text{estimated lifetime gross profit}$$

Using the same example:

Lifetime revenue	Gross margin	Estimated lifetime gross profit
\$900	40%	\$360

$\$900 \times 40\% = \text{\$360 estimated lifetime gross profit.}$

Keep the distinction clear. \$900 is the estimated revenue from the customer. \$360 is the estimated gross profit in this example. Neither figure is automatically the final profit of the business.

If you do not know your gross margin yet, calculate lifetime revenue first. Do not invent a margin just to complete the worksheet.

What does it cost to gain a customer?

CAC means Customer Acquisition Cost. In simple terms, it is how much you spend to gain one new customer.

$$\text{Marketing and sales spend} \div \text{new customers gained} = \text{CAC}$$

Example

Marketing + sales spend	New customers	CAC
\$5,000	50	\$100

$\$5,000 \div 50 = \text{\$100 to gain one customer.}$

In our example, estimated lifetime gross profit is \$360 and acquisition cost is \$100. That leaves \$260 before other business costs are considered.

There is no single LTV-to-CAC number that is right for every business. Cash flow, margins, repeat purchase behaviour, overheads and how quickly the customer pays you all matter. Use the comparison as a decision tool, not a universal rule.

Your Lifetime Value Map

Use your own numbers. If you only have estimates, mark them as estimates and improve them as better data becomes available.

Your numbers	Enter
Average sale	\$ _____
Purchases per year	_____
Average years as a customer	_____
Lifetime revenue	\$ _____
Gross margin	_____ %
Estimated lifetime gross profit	\$ _____
Cost to gain one customer (CAC)	\$ _____
Value after acquisition cost*	\$ _____

*A simple comparison of estimated lifetime gross profit minus CAC. It is not the same as net profit.

If your customers behave very differently

Do not force everyone into one average. If you have enough reliable data, repeat the calculation for useful customer groups such as new, repeat and loyal customers, or for different products or services.

What can you change?

The calculation matters because it shows where growth can come from. There are several numbers you can influence.

Lever	Question to ask
Gain more customers	Can we gain the right customers more efficiently?
Increase average spend	Is there a useful reason for customers to spend more per purchase?
Increase purchase frequency	Can we give customers a reason to return more often?
Keep customers longer	Why do good customers leave, and what would make them stay?
Improve margin	Can we reduce direct cost without reducing the value customers receive?

Your next test

The number we most want to improve: _____

Why: _____

The change we will test: _____

How we will measure it: _____

When we will review the result: _____

Do not stop at the LTV number. Use it to decide what to test next, then come back and update the map with real results.

Know what a customer is worth before deciding what they are worth spending to gain.

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